

valuations, assumed pension returns, and method of funding lead to a result that can be either significantly overrated or underrated.

The number of games that can be played here is almost limitless. These aggressive measures continue to infect the quality of earnings at American firms and are often undetected even by smart investors. Take nothing for granted; if it seems too good to be true, it probably is. Aggressive balance sheets and accounting are typically not associated with conservative management teams or those planting seeds for future generations. They are typically associated with borrowing from the future. Verifying and exploring this is the basis from which our qualitative analysis flows.

Unit Economics

Acquiring a thorough understanding of the balance sheet mechanics will allow us to then identify the key items on the balance sheet and drill down into them at a micro level, in order to understand attributes like the unit economics of a business. Just as you can drop a dollar of revenue or cost through the cash flow statement and balance sheet, you can do the same in replicating unit economics of the company. For example, looking at the earnings for Costco is one thing, examining the balance sheet another, but understanding the unit economics of an individual store is far more powerful than either of those. While the company doesn't overtly disclose store-by-store unit economics, in the case of Costco we can use company disclosures to triangulate into the average cost to build a store. Then by estimating the approximate time to get to run rate revenues and margins, we can approximate the individual store ROI.

This calculation should reveal much about the overall business economics but often does not, typically for one of two reasons. One, management teams often present the best possible narrative, for example, by including only variable costs and understating maintenance capital expenditures. Project or unit economic IRRs are almost always